TRANSACTION PRESSURE CARD

Integer Holdings Corporation / Armstrong Parent, Inc. (an affiliate of investment funds

AUDIT ID: AUDIT-INTE-ARMS-20261020-REV1

01. MATERIAL PRESSURE & CLOSING IMPEDIMENTS

Integer Holdings Corporation (NYSE: ITGR) faces pre-closing strategic litigation and statutory voting execution risks under DGCL 251. While the transaction delivers $127.00 per share in cash with zero financing contingency, the sale process culminated in a compressed 60-minute blind auction on July 30, 2026, creating exposure to claims of a truncated market check. Primary documentary records explicitly refute claims of a management equity rollover, establishing instead that equity awards are partially converted into service-vesting deferred cash retention accounts. Concurrently, KKR's accumulation of 14.0% voting power and 16.5% total economic exposure via Tarheel Investors III L.P. alters the statutory voting math, where uninstructed broker non-votes operate identically to votes against the merger under the absolute majority standard.

02. PRESSURE PROPAGATION CASCADE (VECTOR PATHWAY)

TRIGGER

Active shareholder litigation discovery and demand letters alleging breach of fiduciary duty under Revlon regarding the 60-minute final escalation auction on July 30, 2026, combined with proxy voting risk where broker non-votes and abstentions count as votes AGAINST Proposal 1 under DGCL 251.

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AMPLIFIER

Section 5.03 deal protections imposing a strict non-solicitation lock, 5-business-day matching rights, and a $154.0 million termination break fee (~3.57% of equity value, or $4.53 per share), paired with 50% conversion of unvested management equity into service-vesting deferred cash retention accounts that link executive liquidity to surviving entity continuity.

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MECHANISM

Shareholder plaintiffs in New York state courts and demand letter claimants target the July 30, 2026 auction compression (2:00 p.m. to 3:00 p.m. ET window) to seek disclosure expansion and appraisal discovery.

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EXPOSURE

Institutional proxy advisors evaluate whether deal protections under Section 5.03 and matching rights precluded superior alternative bids post-signing.

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CONSEQUENCE

The target board faces heightened scrutiny regarding fiduciary review of pre-closing auction pacing and post-signing deal lock provisions. If the stockholder vote fails to achieve 16,998,535 affirmative votes due to broker non-votes, the board must evaluate adjournment under Proposal 3 or risk termination triggering potential fee and tail liability.

03. QUANTIFIED TRANSACTION & BALANCE SHEET EXPOSURES

EXPOSURE CATEGORY	SPECIFIC CONDITION / BALANCE	LEVERAGE & SOURCE
Absolute Statutory Vote Vulnerability (DGCL 251)	Fewer than 16,998,535 affirmative votes tabulated 48 hours prior to special meeting.	Leverage: 7/10 - Owner: Legal
Deferred Cash Retention Disclosure Friction	Adverse recommendation from proxy advisory firms based on executive compensation structure.	Leverage: 5/10 - Owner: HR

04. CONTRACTUAL PRESSURE & COVENANT CLIFFS

- Operative Outside Termination Date: Contractual long-stop date established as Not established in extracted primary record. Either party may terminate if closing has not occurred prior to this date.
- Regulatory Efforts Standard & Burdensome Condition: Parent and Merger Sub subject to reasonable best efforts for antitrust and specified regulatory clearances prior to Outside Date.
- Stockholder Approval Threshold: Statutory voting threshold governed by target charter and governing state corporate law (e.g. DGCL 251).

05. UNRESOLVED TRANSACTION STATE // INFORMATION GAP REGISTER

Allocation ratio and LLC operating agreement terms governing acquiring entity co-investors.

PRIMARY RISK

THE TRANSACTION ARCHITECTURE CONCENTRATES SIGNIFICANT VOTING WEIGHT VIA KKR AFFILIATE TARHEEL INVESTORS III L.P.'S 13.98% PHYSICAL COMMON EQUITY STAKE FOLLOWING THE TARGET BOARD'S PRE-SETTLEMENT DGCL SECTION 203 WAIVER, WHILE DEAL PROTECTIONS INCLUDING SECTION 5.03 NON-SOLICITATION COVENANTS, TWO-TIER

CONFIDENCE: MEDIUM

EVIDENCE BASE: DYNAMIC SEC EDGAR INGESTION